

Shengyi Technology (600183.SS)

Preliminary 1H26 Profit Alert Beats Citi Expectation

CITI'S TAKE

Shengyi Technology (600183.SS, Buy): 1H26 NP guided to Rmb3.1-3.3bn, up 117-131% yoy, leaving a record ~Rmb2.0bn for 2Q26 at mid-point, up ~135% yoy against a 2Q25 comp that itself rose 61%. Stripping out ~Rmb380mn of non-operating gains (vs Rmb48mn in 1H25), recurring NP still doubled, which beat our expectation. This is primarily driven by mix upgrade towards AI-CCL carrying much higher GM than non-CCL. Recall we raised 2026-28E earnings by 28-34% in June on AI-CCL mix upgrade for rising from ~10% of total volume in the last year, 15% in mid-2026 and toward ~20% by end-2026 for Vera Rubin, with higher blended GM thru the mix. Interim report is due 15 Aug. Amongst AI-CCL/PCB chain, we prefer **Shengyi to Shennan**. Shennan also announced a preliminary 1H26 profit alert today with implied 2Q recurring growth of ~71% vs Shengyi's ~112%. **Reiterate Buy on Shengyi Tech given recent share-price correction.**

Buy

Price (13 Jul 26 15:00)	Rmb134.450
Target price	Rmb195.000
Expected share price return	45.0%
Expected dividend yield	1.4%
Expected total return	46.4%
Market Cap	Rmb326,580M US\$48,244M

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Figure 1. Quarterly P&L

Quarterly P&L (Rmb mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E Low	2Q26E Mid	2Q26E High
Revenue	5,611	7,069	7,834	7,818	8,141			
COGS	4,231	5,170	5,701	5,802	5,854			
Gross profit	1,380	1,899	2,233	2,015	2,286			
Business tax	27	38	33	53	41			
Selling expense	117	145	140	135	135			
Administrative expens	538	636	644	720	671			
Operating profit	699	1,079	1,416	1,107	1,441			
Finance expense	14	19	33	31	38			
Other gain	49	71	40	82	54			
Investment income	14	20	20	89	9			
Fair value change gain	(6)	6	6	10	79			
Asset impairment los	(23)	(32)	(51)	(55)	(14)			
Asset disposal gain	(0)	(3)	(5)	(2)	(0)			
Others (plug: adjusted OP items vs reported OP)			(65)	(62)	(77)			
Reported operating profit	719	1,123	1,393	1,199	1,531			
non-operating income	0	2	1	2	3			
non-operating expense	(0)	3	3	16	3			
Profit before tax	719	1,127	1,391	1,184	1,530			
Tax expense	84	134	150	156	198			
MI	71	125	224	138	174			
Net profit	564	868	1,017	891	1,158	1,941	2,040	2,140
YoY change	43.8%	60.6%	131.2%	143.1%	105.5%	123.7%	135.2%	146.6%
Recurring net profit	560	819	1,001	795	1,083	1,636	1,736	1,835
YoY change	45.0%	56.6%	147.7%	119.6%	93.5%	99.9%	112.0%	124.2%
YoY growth								
Revenue	26.9%	35.8%	55.1%	38.5%	45.1%			
Gross profit	46.5%	67.4%	90.9%	61.6%	65.7%			
Operating profit	57.6%	86.4%	189.3%	127.4%	106.3%			
Reported operating profit	58.0%	78.4%	146.0%	189.1%	113.0%			
PBT	58.2%	77.3%	145.9%	187.4%	113.0%			
NP	43.8%	60.6%	131.2%	143.1%	105.5%			
Recurring NP	45.0%	56.6%	147.7%	119.6%	93.5%			
Margins and ratios	1Q25	2Q25	3Q25	4Q25	1Q26			
Gross margin	24.6%	26.9%	28.1%	25.8%	28.1%			
Adjusted operating margin	12.4%	15.3%	17.8%	14.2%	17.7%			
Net margin	10.0%	12.3%	12.8%	11.4%	14.2%			

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Source: Citi Research, Company Reports

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Shengyi Technology

Valuation

Our target price for SYTECH of Rmb195 is based on a 56x 2027E PE, +4SD. We employ a PE target multiple at +4SD reflecting Shengyi demonstrating persistent increase of wallet share at NVDA from GB200 to GB300 and further in Vera Rubin. We still see continued earnings upgrade opportunity for 2026E-28E backed by rising % of revenue from AI-CCL in coming years. The premium PE target over mean is justified, in our view, based on our 3-year EPS CAGR of 45% over 2025-28E, following a ~24% decline in 2023. Our target PE implies 1.2x PEG which looks comparable with major regional peers. We believe its high PE target over mean is appropriate given: 1) SYTECH's strong track record of winning market share in the global CCL market (from 8% in 2007 to 13% in 2024); 2) SYTECH's technology edge as the first to enter Nvidia AI supply chain among China CCL players; and 3) increasing premium for domestic component sourcing, underpinned by bans preventing dealing with US companies to source components.

Risks

Key downside risks to achieving our target price include: 1) lower-than-expected demand for AI-CCL order, 2) subdued China consumption, and 3) worse-than-expected capex on 5G/IoT products. Key upside risks to achieving our target price include: 1) secure of ASIC-based customers for CCL orders, 2) better-than-expected macro-economic conditions in China, 3) better-than-expected operating margin on higher rev growth due to high operating leverage, and 4) stronger-than-expected AI demand and consumption subsidy.

Shennan Circuit

(002916.SZ; Rmb393.59; 1; 13 Jul 26; 15:00)

Valuation

Our target price for Shennan shares of RMB360 is based on forward 2027E PE target of 38x at +2sd over mean as we roll over from prior 43x PE to 38x PE (at +2SD) following the release of 1Q26 results beat. We employ +2SD over mean for Shennan earnings upcycle under AI-PCB demand. This is backed by 3-yr EPS CAGR of 32% thru 2028E. The company's status is one of the key proxies on AI server and BT substrate – both contributed ~75% of total sales. The PE target reflects the sustained PCB industry upcycle with datacenter server, AI server, EV, etc. during 2026-28E, though the 5G base station installations maintain modest growth in China this year. The start-up loss for new plant for Guangzhou FC-BGA Ph1 took place in 2025 but this would start operate breakeven from 2026 which is about 1yr earlier than prior guidance of 2027. Our target PE of 38x forward equates to a ~20-30% premium to the sector average, which we see as warranted given: 1) Shennan's leading position in the communication PCB sector, enhanced by its SOE background; and 2) the company's technology leadership position on AI-server, communication, datacenters, autos (on ADAS) among peers with the potential to deliver a higher margin on a more advanced technology curve.

Risks

Downside risks that could hinder the shares from reaching to our target price include: 1) Foreign AI server boom and other leading players is slower than expected; 2) weaker-than-expected demand on auto and ADAS system; 3) lower-than-expected profit of BT substrate new plant in Wuxi; and 4) higher-than-expected laminate cost inflation.

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Appendix A-1

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Shengyi Technology (600183.SS)

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Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 18-Aug-23 11:43:29	*3	*12.00	14.45
2 26-Oct-23 16:01:40	*1	*19.00	16.27
3 28-Mar-24 17:00:11	1	*20.00	17.54
4 26-Apr-24 12:34:42	1	*22.50	16.83

*Indicates Change

Date	Rating	Target Price	Closing Price
5 22-May-24 19:52:26	1	*27.00	20.33
6 20-Jan-25 04:55:26	1	*35.00	29.06
7 20-Feb-25 09:48:03	1	*41.00	33.72
8 14-Jul-25 11:40:03	1	*43.80	32.91

Date	Rating	Target Price	Closing Price
9 17-Aug-25 18:25:36	1	*60.00	44.83
10 28-Oct-25 11:39:58	1	*83.00	67.39
11 26-Apr-26 19:07:57	1	*96.00	72.63
12 11-Jun-26 09:01:12	1	*195.00	149.73

Rating/target price changes above reflect Eastern Time

Shennan Circuit (002916.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 23-Aug-23 12:40:58	3	*36.92	47.80
2 14-Mar-24 12:44:06	3	*44.62	64.29
3 15-Apr-24 18:02:05	3	*57.69	75.37
4 12-Sep-24 19:07:57	3	*61.54	70.62

*Indicates Change

Date	Rating	Target Price	Closing Price
5 12-Mar-25 12:31:10	3	*73.08	97.75
6 23-Apr-25 13:51:13	*1	*103.85	85.15
7 05-Jun-25 06:00:50	1	*103.85	92.42
8 27-Aug-25 18:20:49	1	*201.00	169.50

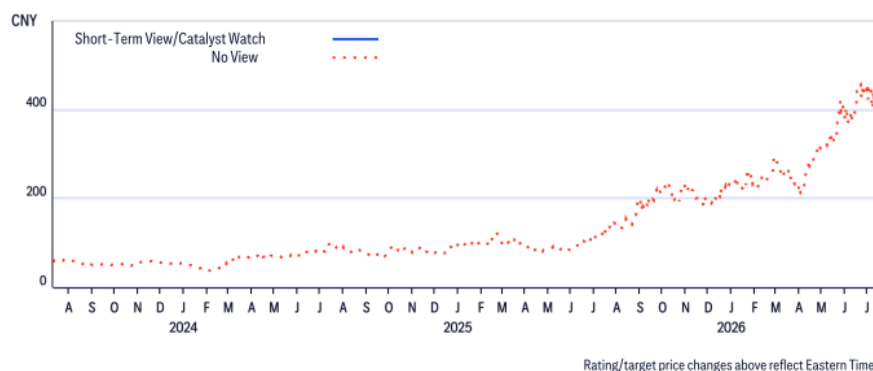
Date	Rating	Target Price	Closing Price
9 18-Sep-25 12:35:26	1	*230.00	197.47
10 29-Oct-25 12:55:41	1	*281.00	227.80
11 12-Mar-26 16:42:37	1	*320.00	252.61
12 24-Apr-26 13:03:49	1	*360.00	301.36

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Shennan Circuit (002916.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



Shengyi Technology (600183.SS)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Jul-25 07:40:03	Add CW	Upside	30 Days	32.91

	Date	Action	Expected Direction	Duration	Closing Price
2	13-Aug-25 23:05:28	Remove CW	Upside	30 Days	42.62

CW - Catalyst Watch, STV - Short-Term View

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